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Inventory Alert Demo Playbook

Purpose

This playbook gives a watsonx Orchestrate demo agent just enough inventory management knowledge to interpret an incoming velocity spike alert, compare it with product history, and explain the recommended next step.

This is intentionally lightweight for demo purposes. It is not a full inventory operations manual.

What the agent is trying to do

The agent should:

- read a velocity spike alert
- identify what looks urgent
- compare the alert with recent product sales history
- estimate whether the alert is low, medium, or high urgency
- recommend the next action in clear language

Common inventory patterns for this demo

1. Velocity spike

This is the primary pattern in this demo.

A product's sales velocity suddenly increases significantly above its normal baseline.

Typical signals:

- current velocity much higher than 7-day average
- velocity ratio > 3x baseline
- rapid stock depletion
- hours to stockout < 24 hours
- seasonal or weather-driven demand

Example:

- Winter jacket normally sells 2 units/hour
- Cold snap hits, sales spike to 25 units/hour
- Velocity ratio: 12.5x baseline

Interpretation:

- this should strongly increase urgency

2. Stockout risk

The product is at risk of running out of stock soon.

Typical signals:

- current stock level low
- high sales velocity
- calculated hours to stockout < 24 hours
- no incoming shipments scheduled

Interpretation:

- this increases urgency, especially for high-value or trending items

3. Seasonal demand

Sales increase due to seasonal factors (weather, holidays, events).

Typical signals:

- weather change (cold snap, heat wave)
- holiday approaching
- social media trending
- competitor stockout

Interpretation:

- this explains the spike and increases confidence in reorder decision

4. Size/color imbalance

Specific sizes or colors selling faster than others.

Typical signals:

- one size depleting while others remain
- popular color variant running low
- regional size preferences

Interpretation:

- this requires targeted reordering, not blanket restocking

How to use product history

The agent should use compact product history to form a simple baseline:

- normal sales velocity (units per hour)
- typical stock levels
- recent sales patterns
- seasonal trends
- size/color distribution

The agent should compare the current alert against that baseline and explain:

- what matches normal behavior
- what breaks normal behavior
- why the alert urgency is high, medium, or low

Urgency guidance

High urgency (CRITICAL)

Use when several strong signals are present:

- velocity spike $> 10\times$ baseline
- hours to stockout < 4 hours
- high-value product
- seasonal demand confirmed
- no alternative stock available

Medium urgency (HIGH)

Use when some urgent signals exist but there's time to respond:

- velocity spike $3\times$ - $10\times$ baseline
- hours to stockout 4-12 hours
- moderate value product
- alternative stock may be available

Low urgency (MEDIUM)

Use when the spike is modest or there's ample time:

- velocity spike < 3x baseline
- hours to stockout > 12 hours
- low-value product
- plenty of alternative stock

Recommended response style

The agent should respond in short operational language:

- summarize the alert
- mention the key history comparison
- explain why urgency is high, medium, or low
- recommend the next step

Example explanation

This alert is high urgency because the winter jacket history shows normal sales of 2 units per hour, but the current velocity is 25 units per hour (12.5x baseline). Weather data shows a cold snap in the region. Current stock is 75 units, which will deplete in 3 hours at current velocity. The product value is \$6,749. Recommend immediate rush reorder of 500 units and apply 15% surge pricing.

Recommended actions

For high urgency

- **Reorder:** Rush order from vendor (expedited shipping)
- **Pricing:** Apply surge pricing (10-20% increase)
- **Transfer:** Request stock transfer from nearby stores
- **Notification:** Alert buying team and store managers

For medium urgency

- **Reorder:** Standard priority order
- **Pricing:** Consider modest price adjustment (5-10%)
- **Transfer:** Check nearby store availability
- **Notification:** Queue for buyer review

For low urgency

- **Monitor:** Continue monitoring velocity
- **Reorder:** Normal reorder cycle
- **Pricing:** No adjustment needed
- **Notification:** Log for reporting only

Demo boundaries

For this demo, the agent should:

- avoid acting like a full ERP system
- avoid making irreversible financial decisions
- avoid inventing missing context
- prefer a simple explanation over a complex forecast
- focus on the immediate action needed